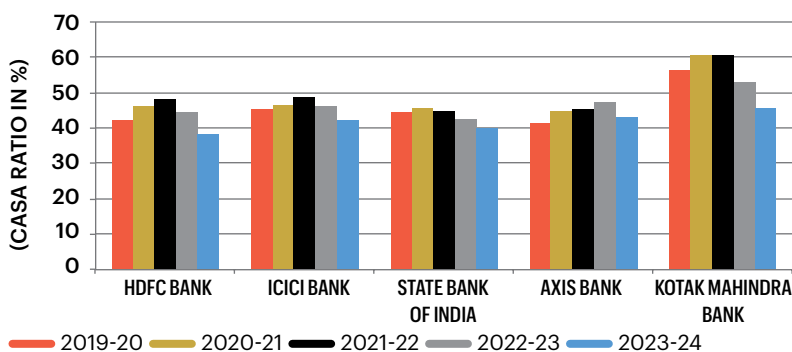


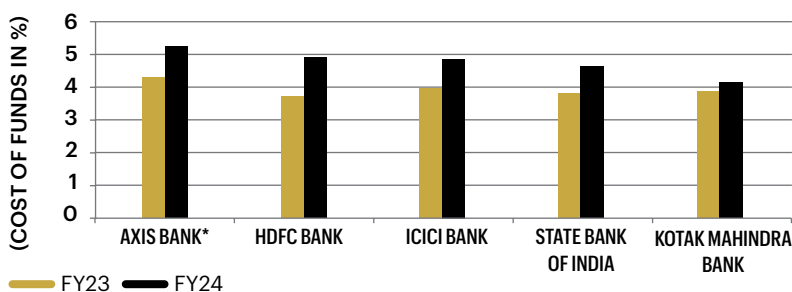
TRENDING DOWN

● The CASA ratio of major banks has declined up to 7 percentage points in FY24



RISING COST OF FUNDS

● The fall in the CASA ratio is a key reason for the rise in banks' cost of funds



*AVERAGE OF THE LAST FOUR QUARTERS

SOURCE CMIE INDUSTRY OUTLOOK, INVESTOR PRESENTATION

interest rate regime, people tend to move their money from CASA accounts to term deposits, because the arbitrage between the savings account and the term deposit increases,” says Sarvjit Samra, MD & CEO of Capital Small Finance Bank. The bank's CASA fell from 41% in FY23 to 38.3% in FY24. It offers 3.5% interest on savings bank deposits.

Money shifting from savings accounts to other investment avenues—such as liquid funds—is another reason for the decline. Many prefer liquid funds to savings and current accounts due to better returns (around 7%) and quicker turnaround times of T+1 day (T:

trading day). Not surprisingly, liquid funds received a monthly inflow of ₹25,873 crore in May 2024, and their net assets under management surged 12.4% year-on-year to ₹4.98 lakh crore, per data from the Association of Mutual Funds of India.

But who is making this shift? “Wealthier individuals with knowledge of mutual funds (MFs) were the first to move their money. They moved out their money from their savings accounts and invested in liquid funds/MFs, causing the initial drop in CASA ratios,” says Virat Diwanji, Head of Consumer Bank at Kotak Mahindra Bank.

Then, people who are risk-averse

but seek higher returns than savings invested in term deposits. State Bank of India, the country's largest bank by assets, currently offers 5.1% returns on 1-year-, 6.75% on 2-year-, and 6.5% on 5-year term deposits—much higher than the returns it offers on its savings accounts. Another reason is rising spending. “People are spending more and saving less. Other reasons like auto sweep facility offered by banks and increase in bulk deposit have resulted in low CASA ratio,” says Madan Sabnavis, Chief Economist at Bank of Baroda. The shift has increased the pressure on banks' cost structures, squeezing their net interest margins in FY24.

MARGIN PRESSURE

The Nifty Bank index returned 18% YoY compared to the 25% offered by the Nifty 50 index as of June 21, 2024. The pressure on banks' net interest margins (NIM) has been one reason for the banking index's slower performance. NIM—the difference between interest income and interest paid to lenders—is a crucial indicator of a bank's profitability. As banks' cost of funds rises due to lower CASA ratios, NIM shrinks, signaling reduced profitability.

In Q4FY24, despite healthy loan growth increasing banks' net interest income by 10.2% YoY, their NIMs fell 16 bps, according to a CareEdge Ratings report. “As deposit rates increase, term deposits have seen stronger growth compared to CASA, impacting the cost of funds and subsequently affecting NIM,” the report says. Over the past year, banks' outstanding term deposits grew 18.5%, against 5.7% growth in savings.